BRECKSVILLE-BROADVIEW HEIGHTS CITY SCHOOL DISTRICT - CUYAHOGA COUNTY

SCHEDULE OF REVENUE, EXPENDITURES, AND CHANGES IN FUND BALANCES FOR THE FISCAL YEARS ENDED JUNE 30, 2020, 2021 and 2022 ACTUAL FORECASTED FISCAL YEARS ENDING JUNE 30, 2023 THROUGH JUNE 30, 2027

Forecast Provided By
Brecksville-Broadview Heights City School District
Treasurer's Office
Craig Yaniglos, Treasurer/CFO
November 16, 2022

Brecksville-Broadview Heights City School District

Cuyahoga County

Schedule of Revenues, Expenditures and Changes in Fund Balances
For the Fiscal Years Ended June 30, 2020, 2021 and 2022 Actual;
Forecasted Fiscal Years Ending June 30, 2023 Through 2027

		Actual				Forecasted				
		Fiscal Year 2020	Fiscal Year 2021	Fiscal Year 2022	Average Change	Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025	Fiscal Year 2026	Fiscal Year 2027
	Revenues									
1.010	General Property Tax (Real Estate)	$38,862,359	$38,695,637	$39,287,331	0.6%	$40,043,745	$40,584,531	$40,870,052	$41,136,665	$41,294,111
1.020	Public Utility Personal Property Tax	2,355,045	2,448,994	2,539,154	3.8%	2,594,260	2,643,776	2,682,991	2,722,206	2,761,421
1.030	Income Tax	0	0	0	0.0%	0	0	0	0	0
1.035	Unrestricted State Grants-in-Aid	4,789,577	4,831,990	4,208,925	-6.0%	4,387,248	4,393,065	4,399,008	4,405,114	4,411,386
1.040	Restricted State Grants-in-Aid	245,423	299,714	764,977	88.7%	640,046	640,046	640,046	640,046	640,046
1.045	Restricted Federal Grants-in-Aid	0	0	0	0.0%	0	0	0	0	0
1.050	Property Tax Allocation	4,114,938	4,113,356	4,139,716	0.3%	4,161,503	4,169,389	4,196,378	4,223,160	4,232,886
1.060	All Other Revenues	1,616,659	1,835,592	1,915,686	9.0%	2,048,424	2,006,821	2,367,366	2,801,590	2,938,358
1.070	*Total Revenues*	$51,984,001	$52,225,283	$52,855,789	0.8%	$53,875,226	$54,437,628	$55,155,841	$55,928,781	$56,278,208
	Other Financing Sources									
2.010	Proceeds from Sale of Notes	0	0	0	0.0%	0	0	0	0	0
2.020	State Emergency Loans	0	0	0	0.0%	0	0	0	0	0
2.040	Operating Transfers-In	0	0	0	0.0%	0	0	0	0	0
2.050	Advances-In	141,196	0	0	0.0%	0	0	0	0	0
2.060	All Other Financing Sources	699,327	36,898	156,817	115.1%	50,000	50,000	50,000	50,000	50,000
2.070	*Total Other Financing Sources*	$840,523	$36,898	$156,817	114.7%	$50,000	$50,000	$50,000	$50,000	$50,000
2.080	*Total Revenues and Other Financing Sources*	$52,824,524	$52,262,181	$53,012,606	0.2%	$53,925,226	$54,487,628	$55,205,841	$55,978,781	$56,328,208
	Expenditures									
3.010	Personal Services	$31,419,810	$31,330,176	$33,544,558	3.4%	$34,408,979	$35,683,440	$36,308,702	$37,045,888	$37,798,351
3.020	Employees' Retirement/Insurance Benefits	11,540,680	11,689,970	11,300,619	-1.0%	12,218,279	12,885,413	13,581,977	14,360,966	15,204,009
3.030	Purchased Services	5,287,889	5,055,890	4,650,532	-6.2%	4,548,646	4,587,251	4,626,243	4,665,626	4,705,401
3.040	Supplies and Materials	931,791	1,284,739	1,221,510	16.5%	1,330,139	1,443,440	1,456,875	1,470,443	1,484,148
3.050	Capital Outlay	172,886	101,099	21,328	-60.2%	21,328	21,328	21,328	21,328	21,328
3.060	Intergovernmental	0	0	0	0.0%	0	0	0	0	0
	Debt Service:				0.0%					
4.010	Principal-All (Historical Only)	0	0	0	0.0%	0	0	0	0	0
4.020	Principal-Notes	0	0	0	0.0%	0	0	0	0	0
4.030	Principal-State Loans	0	0	0	0.0%	0	0	0	0	0
4.040	Principal-State Advancements	0	0	0	0.0%	0	0	0	0	0
4.050	Principal-HB 264 Loans	0	0	0	0.0%	0	0	0	0	0
4.055	Principal-Other	0	0	0	0.0%	0	0	0	0	0
4.060	Interest and Fiscal Charges	0	0	-	0.0%	0	0	0	0	0
4.300	Other Objects	756,281	742,607	767,097	0.7%	767,097	767,097	767,097	767,097	767,097
4.500	*Total Expenditures*	$50,109,337	$50,204,481	$51,505,644	1.4%	$53,294,468	$55,387,969	$56,762,222	$58,331,348	$59,980,334
	Other Financing Uses									
5.010	Operating Transfers-Out	$283,450	$632,564	$93,627	19.0%	$160,000	$60,000	$60,000	$60,000	$60,000
5.020	Advances-Out	40,000	0	0	0.0%	0	0	0	0	0
5.030	All Other Financing Uses	0	0	0	0.0%	0	0	0	0	0
5.040	*Total Other Financing Uses*	$323,450	$632,564	$93,627	5.2%	$160,000	$60,000	$60,000	$60,000	$60,000
5.050	*Total Expenditures and Other Financing Uses*	$50,432,787	$50,837,045	$51,599,271	1.2%	$53,454,468	$55,447,969	$56,822,222	$58,391,348	$60,040,334
6.010	*Excess of Revenues and Other Financing Sources over (under) Expenditures and Other Uses*	$2,391,737	$1,425,136	$1,413,335	-20.6%	$470,759	($960,341)	($1,616,381)	($2,412,567)	($3,712,126)
7.010	Cash Balance July 1 - Excluding Proposed Renewal/Replacement and New Levies	$17,475,491	$19,867,228	$21,292,364	10.4%	$22,705,699	$23,176,458	$22,216,117	$20,599,736	$18,187,169
7.020	*Cash Balance June 30*	$19,867,228	$21,292,364	$22,705,699	6.9%	$23,176,458	$22,216,117	$20,599,736	$18,187,169	$14,475,043
8.010	*Estimated Encumbrances June 30*	$0	$0	$87,403	0.0%	$87,403	$87,403	$87,403	$87,403	$87,403
	Reservation of Fund Balance									
9.010	Textbooks and Instructional Materials	0	0	0	0.0%	0	0	0	0	0
9.020	Capital Improvements	0	0	0	0.0%	0	0	0	0	0
9.030	Budget Reserve	0	0	0	0.0%	0	0	0	0	0
9.040	DPIA	0	0	0	0.0%	0	0	0	0	0
9.045	Fiscal Stabilization	0	0	0	0.0%	0	0	0	0	0
9.050	Debt Service	0	0	0	0.0%	0	0	0	0	0
9.060	Property Tax Advances	0	0	0	0.0%	0	0	0	0	0
9.070	Bus Purchases	0	0	0	0.0%	0	0	0	0	0
9.080	*Subtotal Reservations of fund Balance*	$0	$0	$0	0.0%	$0	$0	$0	$0	$0
10.010	*Fund Balance June 30 for Certification of Appropriations*	$19,867,228	$21,292,364	$22,618,296	6.7%	$23,089,055	$22,128,714	$20,512,333	$18,099,766	$14,387,640

Brecksville-Broadview Heights City School District

Cuyahoga County

Schedule of Revenues, Expenditures and Changes in Fund Balances
For the Fiscal Years Ended June 30, 2020, 2021 and 2022 Actual;
Forecasted Fiscal Years Ending June 30, 2023 Through 2027

		Actual				Forecasted				
		Fiscal Year 2020	Fiscal Year 2021	Fiscal Year 2022	Average Change	Fiscal Year 2023	Fiscal Year 2024	Fiscal Year 2025	Fiscal Year 2026	Fiscal Year 2027
	Revenue from Replacement/Renewal Levies									
11.010	Income Tax - Renewal	0	0	0	0.0%	0	0	0	0	0
11.020	Property Tax - Renewal or Replacement	0	0	0	0.0%	0	0	0	0	0
11.300	Cumulative Balance of Renewal Levies	$0	$0	$0	0.0%	$0	$0	$0	$0	$0
12.010	*Fund Balance June 30 for Certification of Contracts, Salary Schedules and Other Obligations*	$19,867,228	$21,292,364	$22,618,296	6.7%	$23,089,055	$22,128,714	$20,512,333	$18,099,766	$14,387,640
	Revenue from New Levies									
13.010	Income Tax - New	0	0	0	0.0%	0	0	0	0	0
13.020	Property Tax - New	0	0	0	0.0%	0	0	0	0	0
13.030	Cumulative Balance of New Levies	$0	$0	$0	0.0%	$0	$0	$0	$0	$0
14.010	Revenue from Future State Advancements				0.0%	-	-	-	-	-
15.010	*Unreserved Fund Balance June 30*	$19,867,228	$21,292,364	$22,618,296	6.7%	$23,089,055	$22,128,714	$20,512,333	$18,099,766	$14,387,640

Brecksville-Broadview Heights City School District – Cuyahoga County
Notes to the Five Year Forecast
General Fund Only
November 16, 2022

Introduction to the Five Year Forecast

The five-year forecast is viewed as a key management tool and must be updated periodically. In Ohio, most school districts understand how they will manage their finances in the current year. The five-year forecast encourages district management teams to examine future years' projections and identify when challenges will arise. This then helps district management to be proactive in meeting those challenges. School districts are encouraged to update their forecasts with Ohio Department of Education when events take place that will significantly change their forecast or, at a minimum, when required under statute.

In a financial forecast, the numbers only tell a small part of the story. For the numbers to be meaningful, the reader must review and consider the Assumptions to the Financial Forecast before drawing conclusions or using the data as a basis for other calculations. The assumptions are especially important to understanding the rationale of the numbers, particularly when a significant increase or decrease is reflected.

Here are at least three purposes or objectives of the five-year forecast:

(1) To engage the local board of education and the community in long range planning and discussions of financial issues facing the school district
(2) To serve as a basis for determining the school district's ability to sign the certificate required by O.R.C. §5705.412, commonly known as the "412 certificate"
(3) To provide a method for the Department of Education and Auditor of State to identify school districts with potential financial problems

O.R.C. §5705.391 and O.A.C. 3301-92-04 require a Board of Education (BOE) to file a five (5) year financial forecast by November 30, 2022, and May 31, 2023, for the fiscal year 2023 (July 1, 2022, to June 30, 2023). The five-year forecast includes three years of actual and five years of projected general fund revenues and expenditures. The fiscal year 2023 (July 1, 2022-June 30, 2023) is the first year of the five-year forecast and is considered the baseline year. Our forecast is updated to reflect the most current economic data available for the November 2022 filing.

Economic Outlook

This five-year forecast is being filed during a two-year economic recovery following the COVID-19 Pandemic, which began in early 2020. The effects of the pandemic have lessened, but several supply chain concerns and high inflation continues to impact our state, country, and broader globalized economy. Inflation in June 2022 hit a 40-year high of 9.1% before falling to 8.3% in August. Costs in FY22 were notably impacted in areas such as diesel fuel for buses, electric and natural gas, and building materials for facility maintenance and repair. Increased inflation affecting district costs is expected to continue in FY23; it remains to be seen if these costs are transitory or will last over the next few years, which could significantly impact our forecast and adversely affect state and local funding.

The Federal Reserve Bank has made fighting inflation its number one concern. It is expected that interest rate increases before December 2022 will result in increased unemployment, and many economists anticipate an economic recession in the first half of the calendar year 2023. If that occurs, the recession will happen as the state legislature considers the next biennium budget for FY24 and FY25. Despite the solid economic recovery the state of Ohio has enjoyed over the past two years, as noted below in the graphs, a recession may impact funding for primary and secondary education.

The State of Ohio's economy has steadily recovered over the past two years. School funding cuts made in FY20 have been fully restored, and a new state funding formula is in year two of a projected five-year phase. While increased inflation impacting district costs is expected to continue over the next few years, the state's economy has grown, as indicated in the graphs below. It may enable the state to continue the phase-in of the new funding formula even if a cyclical recession occurs in the first half of the 2023 calendar year.

While all school districts are being aided by three (3) rounds of federal Elementary and Secondary Schools Emergency Relief Funds (ESSER) which began in fiscal year 2020, the most recent allocation of ESSER funds must be spent or encumbered by September 30, 2024.

Data and assumptions noted in this forecast are based on the best and most reliable data available to us as of the date of this forecast.

Forecast Risks and Uncertainty:
A five year financial forecast has risks and uncertainty not only due to economic uncertainties noted above but also due to state legislative changes that will occur in the spring of 2023 and 2025 due to deliberation of the next two (2) state biennium budgets for FY24-25 and FY26-27, both of which affect this five year forecast. We have estimated revenues and expenses based on the best data available to us and the laws in effect at this time. The items below give a short description of the current issues and how they may affect our forecast long term:

I. Property tax collections are the largest single revenue source for the school system. The housing market in our district is stable and growing. We project growth in appraised values every three (3) years, and new construction growth with modest increases in local taxes as the pandemic ends and the economy continues its recovery as anticipated. Total local revenues, predominately local taxes, equating to 82.9% of the district's resources. Our tax collections in the March 2022 and August 2022 settlements showed average collection trends. We believe there is a low risk that local collections would fall below projections throughout the forecast.

II. Cuyahoga County experienced a reappraisal update in the 2021 tax year to be collected in FY22. The 2021 update increased overall assessed values by $153.7 million or an increase of 13.8%. A reappraisal will occur in tax year 2024 for collection in FY25. The values are estimated to increase for Class I and II property by $60.7 million for an overall increase of 4.76%. There is however always a minor risk that the district could sustain a reduction in values in the next appraisal update but we do not anticipate that at this time.

III. The state budget represented 17.1% of district revenues, which means it is a significant area of risk to revenue. The future risk comes in FY24 and beyond if the state economy stalls due to the record high inflation we are witnessing at this time or the Fair School Funding Plan is not funded in future state budgets due to an economic recession. Two future State Biennium Budgets are covering the period from FY24-25, and FY26-27 in this forecast. Future uncertainty in the state foundation funding formula and the state's economy make this area an elevated risk to district funding long range through FY27. We have projected our state funding to be in line with the FY23 funding levels through FY27 which we feel is conservative and should be close to whatever the state approves for the FY24-FY27 biennium budgets. We will adjust the forecast in future years as we have data to help guide this decision.

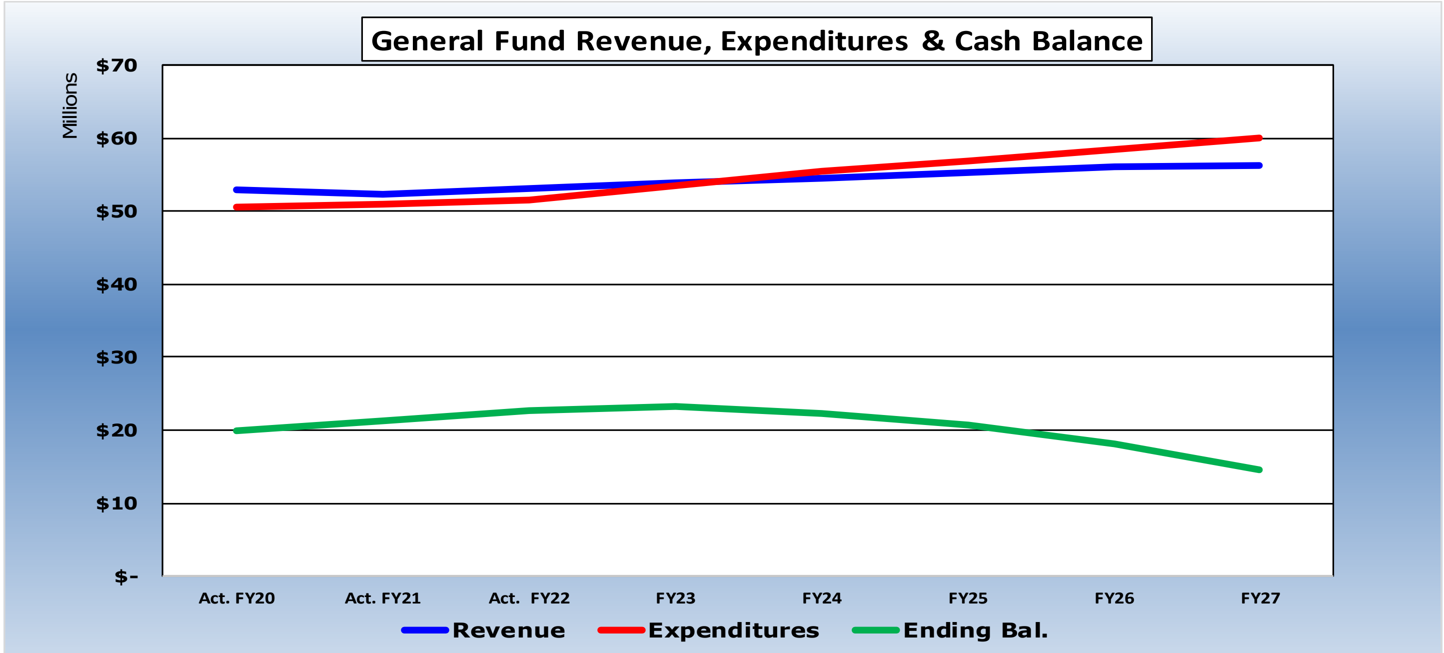
IV. HB110, the current state budget implements that has been referred to as the Fair School Funding Plan (FSFP) for FY22 and FY23. The full release of the new Fair School Funding Plan formula calculations were delayed until March 2022. The FSFP has many significant changes to the way foundation revenues are calculated for school districts and how expenses are charged off. State foundation basic aid will be calculated on a base cost methodology with funding paid to the district where a student is enrolled to be educated. Beginning in FY22, a district's open enrollment payments will no longer be paid separately as those payments are included with basic aid. A change in expenditures beginning in FY22 will also occur, in that there will no longer be deductions for students that attend elsewhere for open enrollment, community schools, STEM schools, and scholarship recipients, as these payments will be paid directly to those districts from the state. The initial impact of these changes on the forecast will be noticed in that the actual historical costs for FY20 through FY21 reflect different trends on Lines 1.035, 1.04, 1.06, and 3.03 beginning in FY22. In June 2022, the legislature passed HB583 to resolve issues and possible unintended consequences in the new funding formula. Some of these changes impacted FY22 and future years' funding. Our state aid projections have been based on the best information on the new HB110 formula as amended by HB583 that are available as of this forecast.

V. HB110 directly pays costs associated with open enrollment, community and STEM schools, and all scholarships including EdChoice Scholarships. These costs will no longer be deducted from our state aid. However, there still are education option programs such as College Credit Plus which continue to be deducted from state aid which will increase costs to the district. Expansion or creation of programs that are not directly paid by the state of Ohio can exposes the district to new expenditures that are not currently in the forecast. We are monitoring closely any new threats to our state aid and increased costs as any new proposed laws are introduced in the legislature.

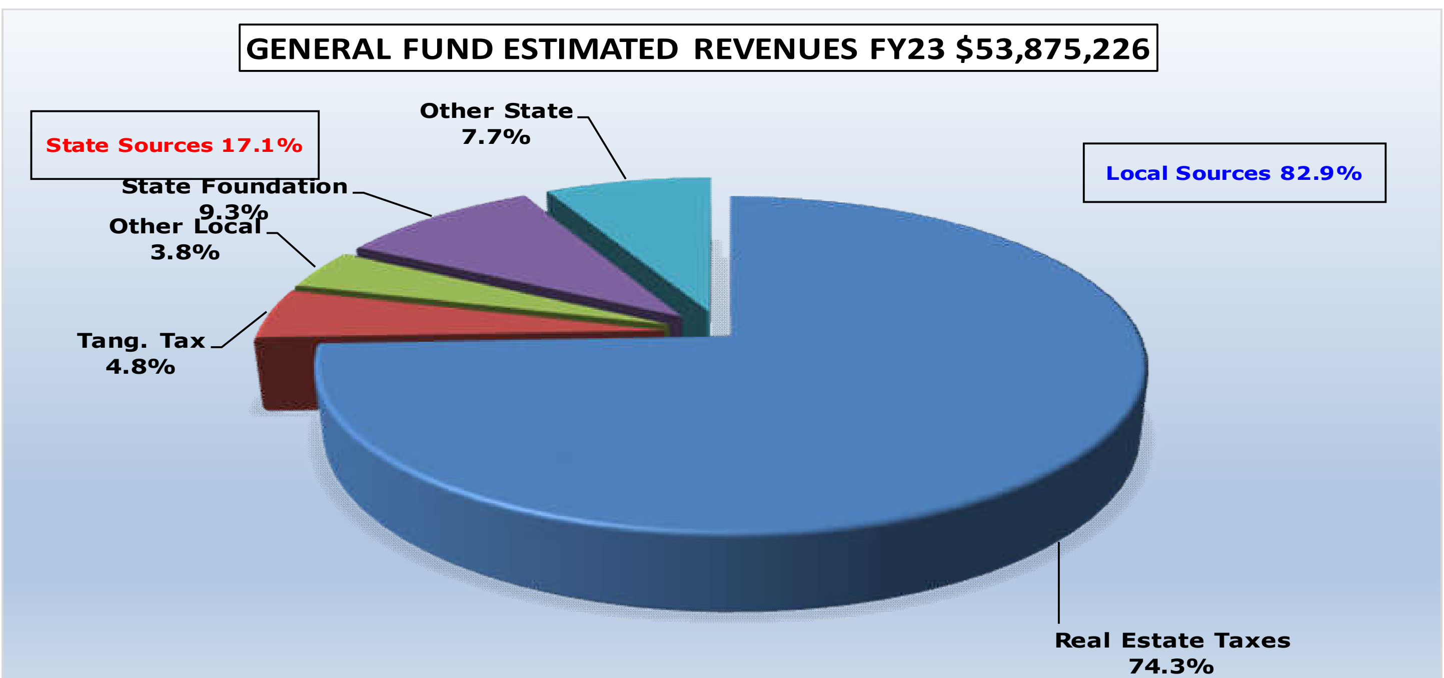
VI. Labor relations in our district have been amicable with all parties working for the best interest of students and realizing the resource challenges we face. We believe as we move forward our positive working relationship will continue and will only grow stronger.

The significant lines of reference for the forecast are noted below in the headings to make it easier to relate the assumptions made for the forecast item and refer back to the forecast. It should be of assistance to the reader to review the assumptions noted below in understanding the overall financial forecast for our district. If you would like further information please feel free to contact Mrs. Craig Yaniglos, Treasurer of Brecksville-Broadview Heights City School District.

General Fund Revenue, Expenditures and Ending Cash Balance Actual FY20-22 and Estimated FY23-27
The graph captures in one snapshot the operating scenario facing the District over the next few years.



Revenue Assumptions
Estimated General Fund Operating Revenues FY23



Real Estate Value Assumptions – Line #1.010
Property Values are established each year by the County Auditor based on new construction, demolitions, BOR/BTA activity and complete reappraisal or updated values. Our district has assessed property value in

Cuyahoga County. Cuyahoga County experienced a reappraisal update in Tax Year 2021 for collection in 2022. We realized an overall increase in our total tax base of 13.8% due to inflation and new construction.

A full reappraisal will occur in 2024 in Cuyahoga County and we estimate a 5% increase in residential and 2% in commercial property values. Residential/Agricultural and Commercial/Industrial values are estimated to increase by $60.7 million or 4.76% overall.

Public Utility Personal Property (PUPP) values increased by $976,480 thousand in Tax Year 2022. We expect our values to continue to grow by $500,000 each year of the forecast.

ESTIMATED ASSESSED VALUE (AV) BY COLLECTION YEAR

	Estimated	Estimated	Estimated	Estimated	Estimated
	TAX YEAR2022	TAX YEAR2023	TAX YEAR2024	TAX YEAR 2025	TAX YEAR 2026
Classification	COLLECT 2023	COLLECT 2024	COLLECT 2025	COLLECT 2026	COLLECT 2027
Res./Ag.	$1,056,816,620	$1,058,466,620	$1,113,039,951	$1,114,689,951	$1,116,339,951
Comm./Ind.	214,165,070	215,965,070	222,084,371	223,884,371	225,684,371
Public Utility Personal Property (PUPP)	33,428,740	33,928,740	34,428,740	34,928,740	35,428,740
Total Assessed Value	$1,304,410,430	$1,308,360,430	$1,369,553,062	$1,373,503,062	$1,377,453,062

ESTIMATED REAL ESTATE TAX (Line #1.010)

Source	FY23	FY24	FY25	FY26	FY27
Est. Real Estate Taxes	$40,043,745	$40,584,531	$40,870,052	$41,136,665	$41,294,111
Total Line #1.01 Real Estate Taxes	$40,043,745	$40,584,531	$40,870,052	$41,136,665	$41,294,111

Property tax levies are estimated to be collected at 98.50% of the annual amount. This allows 1.50% delinquency factor. In general, 52.88% of the Res/Ag and Comm/Ind property taxes are expected to be collected in the February tax settlement and 47.12% collected in the August tax settlement.

Public Utility tax settlements (PUPP taxes) are estimated to be received 50% in March and 50% in August settlement from the County Auditor and are noted in Line #1.02 totals below.

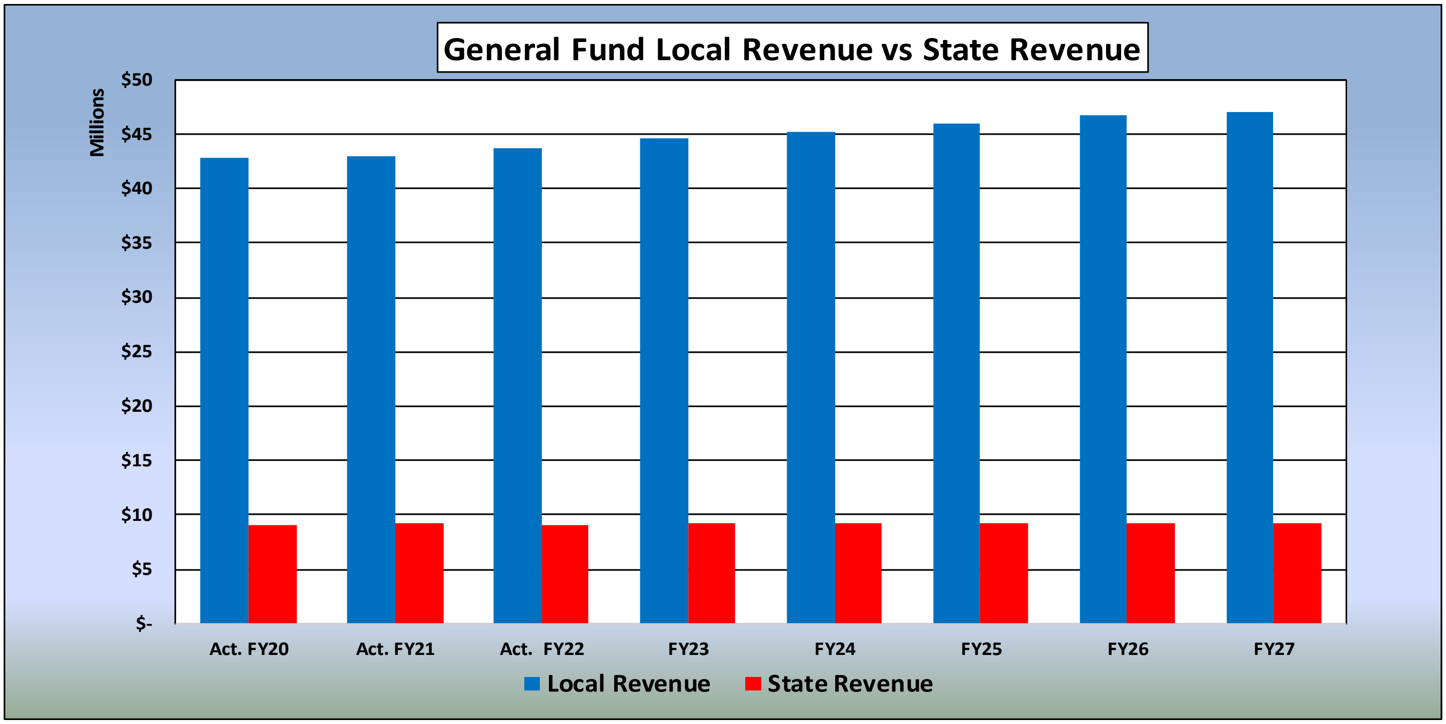
New Tax Levies – Line #13.030 - No new levies are modeled in this forecast.

Estimated Public Utility Personal Property Tax (PUPP) – Line #1.020
As noted earlier, the phase out of TPP taxes began in FY06 with HB66 that was adopted in June 2005. TPP tax assessments ended in FY11. The only amounts received after FY11 are from delinquent TPP taxes outstanding as of 2010. Amounts noted below are public utility tangible personal property (PUPP) tax payments from public utilities. Collections are typically 50% in March and 50% in August along with the real estate settlements from the county auditor. The values in 2022 rose by 4.35% or $1.37 million and are expected to grow by $40,000 each year of the forecast.

Source	FY23	FY24	FY25	FY26	FY27
Public Utility Personal Property	$2,594,260	$2,643,776	$2,682,991	$2,722,206	$2,761,421
Total PUPP Tax Line #1.020	$2,594,260	$2,643,776	$2,682,991	$2,722,206	$2,761,421

New Tax Levies – Line #13.030
No new levies are modeled in the forecast at this time.

Comparison of Local Revenue and State Revenue:
The following graph clearly shows that local taxpayers are the chief source of district operating dollars as the state funding formula is not attempting to help fund districts considered wealthy by the state. It is also apparent that revenue growth from the state has been and is projected to be mostly flat.



State Foundation Revenue Estimates – Lines #1.035, 1.040 and 1.045

Current State Funding Model per HB110 through June 30, 2023
A) Unrestricted State Foundation Revenue– Line #1.035
The full release of the new Fair School Funding Plan formula occurred in March 2022 and was amended in HB583, passed in June 2022. Complete calculations of the new formula were not available for nearly all of the last fiscal year. We have projected FY23 funding based on the September 2022 foundation settlement and funding factors.

Our district is currently a guarantee district in FY23 and is expected to continue as a guarantee district in FY24-FY27 on the new Fair School Funding Plan (FSFP). The state foundation funding formula has gone through many changes in recent years. The most recent funding formula began in FY14 and was dropped in FY19 after six (6) years, followed by no foundation formula for two (2) years in FY20 and FY21, and now HB110, as amended by HB583, implements the newest and possibly the most complicated funding formula in recent years for FY22 and FY23. The current formula introduces many changes to how state foundation is calculated and expenses deducted from state funding which will potentially make the actual five-year forecast look different with estimates FY23 through FY27 compared to actual data FY20 through FY21 on Lines 1.035, 1.04, 1.06 and 3.03 of the forecast.

Overview of Key Factors that Influence State Basic Aid in the Fair School Funding Plan

A. Student Population and Demographics
B. Property Valuation
C. Personal Income of District Residents

D. Historical Funding- CAPS and Guarantees from prior funding formulas

<u>Base Cost Approach- Unrestricted Basic Aid Foundation Funding</u>
The new funding formula uses FY18 statewide average district costs and developed a base cost approach that includes minimum service levels and student teacher ratios to calculate a unique base cost for each district that includes base funding for five (5) areas:

1. Teacher Base Cost (4 subcomponents)
2. Student Support (7 subcomponents-including a restricted Student Wellness component)
3. District Leadership & Accountability (7 subcomponents)
4. Building Leadership & Operations (3 subcomponents)
5. Athletic Co-curricular (contingent on participation)

<u>State Share Percentage – Unrestricted Basic Aid Foundation Funding</u>
Once the base cost is calculated, which is estimated to be as high as $7,351.71 per pupil in FY23, the FSFP calculates a state share percentage (SSP) calculation. The state share percentage in concept will be higher for districts with less capacity (lower local wealth) and be a lower state share percentage for districts with more capacity (higher local wealth). The higher the district's ability to raise taxes based on local wealth the lower the state share percentage. The state share percentage will be based on 60% property valuation of the district, 20% on federally adjusted gross income and 20% on federal median income, as follows:

1. 60% based on most recent three (3) year average assessed values or the most recent year, whichever is lower divided by base students enrolled.
2. 20% based on most recent three (3) year average federal adjusted gross income of district residents or the most recent year, whichever is lower divided by base students enrolled
3. 20% based on most recent year federal median income of district residents multiplied by number of returns in that year divided by base students enrolled
4. When the weighted values are calculated and Items 1 through 3 above added together, the total is then multiplied by a Local Share Multiplier Index from ranging from 0% for low wealth districts to a maximum of 2.5% for wealthy districts.

When the unrestricted base cost is determined and multiplied by the state share percentage, the resulting amount is multiplied by the current year enrolled students (including open enrolled students being educated in each district), and finally multiplied by the local share multiplier index for each district. The result is the local per pupil capacity amount of the base per pupil funding amount. The balance of this amount is the state share to pay.

Categorical State Aid
In addition to the base state foundation funding calculated above, the FSFP also has unrestricted categorical funding and new restricted funding beginning in FY22, some of which will have the state share percentage applied to these calculations as noted below:

<u>Unrestricted Categorical State Aid</u>

1. <u>Targeted Assistance/Capacity Aid</u> – Provides additional funding based on a wealth measure using 60% weighted on property value and 40% on income. Uses current year enrolled average daily membership (ADM). Also will provide supplemental targeted assistance to lower wealth districts whose enrolled ADM is less than 88% of their total FY19 ADM.
2. <u>Special Education Additional Aid</u> – Based on six (6) weighted funding categories of disability and moved to a weighted funding amount and not a specific amount. An amount of 10% will be reduced from all districts' calculation to be used toward the state appropriation for Catastrophic Cost reimbursement.

3. Transportation Aid – Funding based on all resident students who ride including preschool students and those living within 1 mile of school. Provides supplemental transportation for low density districts. Increases state minimum share to 29.17% in FY22 and 33.33% in FY23.

Restricted Categorical State Aid

1. Disadvantage Pupil Impact Aid (DPIA)- Formerly Economically Disadvantaged Funding, DPIA is based on number and concentration of economically disadvantaged students compared to state average and multiplied by $422 per pupil. Phase in increases are limited to 0% for FY22 and 14% in FY23. There is no legislation indicating the percentage increase for FY24 and beyond for DPIA.
2. English Learners – Based on funded categories based on time student enrolled in schools and multiplied by a weighted amount per pupil.
3. Gifted Funds –Based on average daily membership multiplied by a weighted amount per pupil.
4. Career-Technical Education Funds – Based on career technical average daily membership and five (5) weighted funding categories students enrolled in.
5. Student Wellness & Success Funding – These funds in FY20 and FY21 were accounted for in Fund 467, but are now restricted funds to be accounted for in the General Fund as part of the foundation formula.

State Funding Phase-In FY22 and FY23 and Guarantees

While the FSFP was presented as a six (6) year phase-in plan, the state legislature only approved the first two (2) years of the funding plan in HB110, which was amended by HB583 in June 2022. The FSFP does not include caps on funding, rather it will include a general phase-in percentage for most components in the amount of 16.67% in FY22 and 33.33% in FY23. DPIA funding will be phased in 0% in FY22 and 14% in FY23. Transportation categorical funds will not be subject to a phase in.

HB110 includes three (3) guarantees: 1) “Formula Transition Aid”; 2) Supplemental Targeted Assistance, and 3) Formula Transition Supplement. The three (3) guarantees in both temporary and permanent law ensure that no district will get fewer funds in FY22 and FY23 than they received in FY21. The guarantee level of funding for FY22 is a calculated funding guarantee level based on total state funding cuts from May 2020 restored, net of transfers and deductions, plus Student Wellness and Success funds (based on FY21 SWSF amounts), enrollment growth supplement funds paid in FY21 and special education preschool and special education transportation additional aid items. It is estimated that nearly 420 districts are on one form of guarantee in FY22. In general, the same number will occur in FY23 since state average costs were frozen at FY18 in the Base Cost calculations. In contrast, property values and Federal Adjusted Gross Income will be allowed to update and increase for FY23, pushing districts toward one of the three (3) guarantees.

Student Wellness and Success Funds (SWSF) - (Restricted Fund 467)

In FY20 and FY21, HB166 provided Student Wellness and Success Funds (SWSF) to be deposited in Special Revenue Fund 467. HB110, the new state budget, essentially eliminated these funds by merging them into state aid and wrapped them into the expanded funding and mission of DPIA funds noted above and on Line 1.04 below, with only a smaller portion devoted to SWSF. Any remaining funds in Special Revenue Fund 467 from FY20 and FY21 will be required to be used for the restricted purposes governing these funds until entirely spent.

Future State Budgets:

Our funding status for the FY24-27 will depend on two (2) new state budgets which are unknown. There is no guarantee that the current Fair School Funding Plan in HB110 will be funded or continued beyond FY23. For this reason funding is held constant FY24 through FY27.

Casino Revenue

On November 3, 2009 Ohio voters passed the Ohio casino ballot issue. This issue allowed for the opening of four (4) casinos one each in Cleveland, Toledo, Columbus and Cincinnati. Thirty-three percent (33%) of the gross casino revenue will be collected as a tax. School districts will receive 34% of the 33% GCR that will be paid into a student fund at the state level. These funds will be distributed to school districts on the 31st of January and August each year which began for the first time on January 31, 2013.

Casino revenue fell slightly in FY21 due to COVID-19 and Casinos closing for a little over two months. We have increased the amount in FY22 back to pre-pandemic FY20 levels as Casino revenues appear to have dipped largely due to their closure and not in response to the economic downturn. Prior to COVID-19 closure, casino revenues were growing modestly as the economy improved. Original projections for FY23-27 estimated a .4% decline in pupils to 1,778,441 and GCR increasing to $106.35 million or $59.80 per pupil, actual payments in FY22 were $62.71 per pupil. FY23 Casino revenues have resumed their historical growth rate and assume a 2% annual growth rate for the forecast period.

Source	FY23	FY24	FY25	FY26	FY27
Basic Aid-Unrestricted	$3,705,603	$3,705,603	$3,705,603	$3,705,603	$3,705,603
Additional Aid Items	450,013	450,013	450,013	450,013	450,013
Basic Aid-Unrestricted Subtotal	4,155,616	4,155,616	4,155,616	4,155,616	4,155,616
Ohio Casino Commission ODT	231,632	237,449	243,392	249,498	255,770
Total Unrestricted State Aid Line #1.035	$4,387,248	$4,393,065	$4,399,008	$4,405,114	$4,411,386

B) Restricted State Foundation Revenue – Line #1.035

HB110 has continued Disadvantaged Pupil Impact Aid (formerly Economic Disadvantaged funding) and Career Technical funding. In addition, there have been new restricted funds added as noted above under "Restricted Categorical Aid" for Gifted, English Learners (ESL) and Student Wellness. The district has elected to also post Catastrophic Aid for special education as restricted revenues. The amount of DPIA is limited to 0% phase in growth for FY22 and 14% in FY23. We have flat lined funding at FY23 levels for FY24-FY27 due to uncertainty on continued funding of the current funding formula.

Source	FY23	FY24	FY25	FY26	FY27
Economically Disadvantaged Aid	$5,856	$5,856	$5,856	$5,856	$5,856
ESL	4,881	4,881	4,881	4,881	4,881
Gifted	134,385	134,385	134,385	134,385	134,385
Career Tech - Restricted	0	0	0	0	0
Student Wellness	119,924	119,924	119,924	119,924	119,924
Catastrophic Aid	375,000	375,000	375,000	375,000	375,000
Total Restricted State Revenues Line #1.040	$640,046	$640,046	$640,046	$640,046	$640,046

C) Restricted Federal Grants in Aid – Line #1.045

No federal unrestricted grants are projected FY23-27.

SUMMARY	FY23	FY24	FY25	FY26	FY27
Unrestricted Line #1.035	$4,387,248	$4,393,065	$4,399,008	$4,405,114	$4,411,386
Restricted Line #1.040	640,046	640,046	640,046	640,046	640,046
Rest. Federal Funds #1.045	0	0	0	0	0
Total State Foundation Revenue	$5,027,294	$5,033,111	$5,039,054	$5,045,160	$5,051,432

State Taxes Reimbursement/Property Tax Allocation
a) Rollback and Homestead Reimbursement
Rollback funds are reimbursements paid to the district from Ohio for tax credits given owner occupied residences equaling 12.5% of the gross property taxes charged residential taxpayers on tax levies passed prior to September 29, 2013. HB59 eliminated the 10% and 2.5% rollback on new levies approved after September 29, 2013.

Homestead Exemptions are credits paid to the district from the state of Ohio for qualified elderly and disabled. In 2007, HB119 expanded the Homestead Exemption for all seniors 65 years of age or older or who are disabled regardless of income. Effective September 29, 2013, HB59 changed the requirement for Homestead Exemptions. Individual taxpayers who do not currently have their Homestead Exemption approved or those who do not get a new application approved for tax year 2013, and who become eligible thereafter will only receive a Homestead Exemption if they meet the income qualifications. Taxpayers who had their Homestead Exemption as of September 29, 2013 will not lose it going forward and will not have to meet the new income qualification. This will generally reduce homestead reimbursements to the district over time, and as with the rollback reimbursements above, the state is increasing the tax burden on our local taxpayers.

Summary of State Tax Reimbursement – Line #1.050

Source	FY23	FY24	FY25	FY26	FY27
Rollback and Homestead	$4,161,503	$4,169,389	$4,196,378	$4,223,160	$4,232,886
b) TPP Reimbursement - Fixed Rate	0	0	0	0	0
c) TPP Reimbursement - Fixed Sum	0	0	0	0	0
Total Tax Reimbursements #1.050	$4,161,503	$4,169,389	$4,196,378	$4,223,160	$4,232,886

Other Local Revenues – Line #1.060
All other local revenue encompasses any type of revenue that does not fit into the above lines. The main sources of revenue in this area have been open enrollment, tuition for court placed students, interest, student fees, Medicaid payments and general rental fees.

HB110, the new state budget, will stop paying open enrollment as an increase to other revenue for the district. Open enrolled students will be counted in the enrolled student base at the school district they are being educated at and state aid will follow the students. Open enrolled student revenues will be included in Line 1.035 as state basic aid.

In FY21 and FY22 interest income fell sharply due to fed rate reductions due to the pandemic. We are projecting that interest will be flat each year of the forecast. How that the fed rates are ramping back up, we could see growth in our investments. We will monitor this closely.

Source	FY23	FY24	FY25	FY26	FY27
Tuition Related Payments	$878,773	$878,773	$878,773	$878,773	$878,773
Medicaid	100,000	100,000	100,000	100,000	100,000
Class & Sports Oriented Fees	250,000	250,000	250,000	250,000	250,000
Interest Earnings	175,000	175,000	175,000	175,000	175,000
Payments In Lieu of Taxes	152,259	320,656	681,201	1,115,425	1,252,193
Rental Related Fees	15,000	15,000	15,000	15,000	15,000
Erate	210,000	0	0	0	0
Miscellaneous	267,392	267,392	267,392	267,392	267,392
Total Other Local Revenue Line #1.060	$2,048,424	$2,006,821	$2,367,366	$2,801,590	$2,938,358

Transfers In / Return of Advances – Line #2.040 & Line #2.050
The district does not have any projected revenue in these lines.

Source	FY23	FY24	FY25	FY26	FY27
Transfers In - Line #2.040	$0	$0	$0	$0	$0
Advance Returns - Line #2.050	0	0	0	0	0
Total Transfer & Advances In	$0	$0	$0	$0	$0

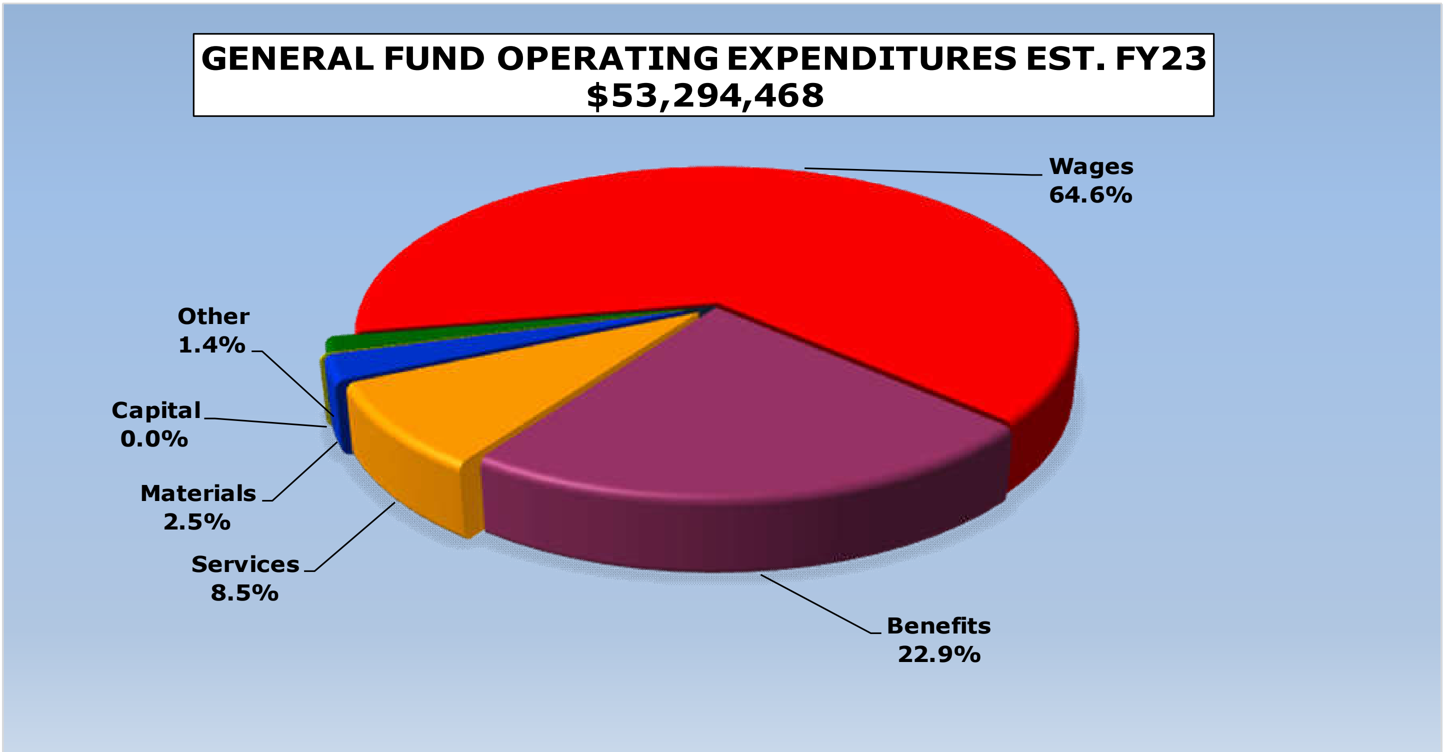
All Other Financial Sources – Line #2.060 & Line #14.010
This funding source is typically a refund of prior year expenditures that is very unpredictable. We received several Bureau of Workers Compensation refunds over the past two years and do not expect to receive a refund in FY23. These revenues are inconsistent year to year and we will not project that occurring in the remainder of the forecast.

Source	FY23	FY24	FY25	FY26	FY27
Refund of prior years expenditures	$50,000	$50,000	$50,000	$50,000	$50,000

Expenditures Assumptions

The district's leadership team is always looking at ways to improve the education of the students whether it be with changes in staffing, curriculum, or new technology needs. As the administration of the district reviews expenditures, the education of the students is always the main focus for resource utilization.

Estimated General Fund Operating Expenditures for FY23



Wages – Line #3.010
Negotiations with bargaining unit members resulted in an agreement to include base increases of 2.75% for FY22 through FY24. For planning purposes a 1% base increase is planned FY25 through FY27. The district estimated $400,000 in FY23 through FY24 and 1.1% increases for FY25 through FY27 for steps and column changes.

Source	FY23	FY24	FY25	FY26	FY27
Base Wages	$32,527,821	$33,184,259	$34,440,853	$35,159,439	$35,889,882
Based Pay Increase	894,515	912,567	344,409	351,594	358,899
Steps & Academic Training	400,000	400,000	365,027	378,849	386,754
Growth Staff	0	0	0	0	0
New Building Staff	44,525	54,654	9,150	0	0
Substitutes	275,000	275,000	275,000	275,000	275,000
Supplementals	649,720	667,587	674,263	681,006	687,816
Severance	300,000	300,000	200,000	200,000	200,000
SWSF & CARES Adjustments	0	0	0	0	0
Other Adjustments/Reductions	(682,603)	(110,628)	0	0	0
Total Wages Line #3.010	$34,408,979	$35,683,440	$36,308,702	$37,045,888	$37,798,351

Fringe Benefits Estimates Line 3.02
This area of the forecast captures all costs associated with benefits and retirement costs, all of which are directly related to the wages paid with the exception of health and life insurance benefits.

A) STRS/SERS

As required by law, the BOE pays 14% of all employee wages to STRS or SERS.

B) Insurance
The district has a 6.6% increase in premiums estimated for FY23 and 9% increases estimated for FY24 through FY27.

C) Workers Compensation & Unemployment Compensation
Workers Compensation is expected to remain at about 0.56% of wages in fiscal year FY23-FY27 and after. Unemployment Compensation has been negligible and is anticipated to remain as such as we plan our staffing needs carefully.

D) Medicare
Medicare will continue to increase at the rate of increases in wages and as new employees are hired. Contributions are 1.45% for all new employees to the district on or after April 1, 1986. These amounts are growing at the general growth rate of wages.

Summary of Fringe Benefits – Line #3.02

Source	FY23	FY24	FY25	FY26	FY27
A) STRS/SERS	$5,358,739	$5,466,933	$5,571,831	$5,685,816	$5,802,118
B) Insurance's	6,128,593	6,662,307	7,264,111	7,917,881	8,630,490
C) Workers Comp/Unemployment	189,345	184,345	163,223	166,467	169,778
D) Medicare	477,144	507,370	518,354	526,344	537,165
Other/Tuition/Annuities	64,458	64,458	64,458	64,458	64,458
Total Fringe Benefits Line #3.020	$12,218,279	$12,885,413	$13,581,977	$14,360,966	$15,204,009

Purchased Services – Line #3.030
HB110, the new state budget, has impacted Purchased Services as the Ohio Department of Education will began to direct pay these costs to the educating districts for open enrollment, community and STEM schools, and for scholarships granted students to be educated elsewhere, as opposed to deducting these amounts from our state foundation funding. We have continued to show these amounts below as zeros to help reflect the difference between projected FY23-FY27 Line 3.03 costs and previous years. College Credit Pus, excess costs and other tuition costs will continue to draw funds away from the district, which will continue in this area and have been adjusted based on historical trend.

Utilities are down from taking serval less efficient buildings offline. In a heavy inflation environment, the district has been able to manage cost very effectively.

Source	FY23	FY24	FY25	FY26	FY27
Professional & Technical Services, ESC	$2,217,044	$2,239,214	$2,261,606	$2,284,222	$2,307,064
Maintenance, Insurance & Garbage Removal	575,000	580,750	586,558	592,424	598,348
Professional Development	42,430	42,854	43,283	43,716	44,153
Communications, Postage, & Telephone	94,360	95,304	96,257	97,220	98,192
Utilities	850,000	858,500	867,085	875,756	884,514
Contracted Trades & Services	81,719	82,536	83,361	84,195	85,037
Tuition, Excess Costs & Scholarship Costs	481,109	481,109	481,109	481,109	481,109
Open Enrollment & Community School Costs	0	0	0	0	0
College Credit Plus	100,000	100,000	100,000	100,000	100,000
Contract Transportation	106,984	106,984	106,984	106,984	106,984
Other Adjustments SWSF, CARES, Etc.	0	0	0	0	0
Miscellaneous Purchased Services	0	0	0	0	0
Total Purchased Services Line #3.030	$4,548,646	$4,587,251	$4,626,243	$4,665,626	$4,705,401

Supplies and Materials – Line #3.040
Expenses which are characterized by curricular supplies, testing supplies, copy paper, maintenance and custodial supplies, materials, and bus fuel.

Source	FY23	FY24	FY25	FY26	FY27
General Office Supplies & Materials	$600,000	$606,000	$612,060	$618,181	$624,363
Textbooks & Instructional Supplies	51,120	51,631	52,147	52,668	53,195
Facility Supplies & Materials	275,000	277,750	280,528	283,333	286,166
Transportation Fuel & Supplies	404,019	408,059	412,140	416,261	420,424
Other adjustments SWSF, CARES, Etc.	0	100,000	100,000	#REF!	100,000
Total Supplies Line #3.040	$1,330,139	$1,443,440	$1,456,875	$1,470,443	$1,484,148

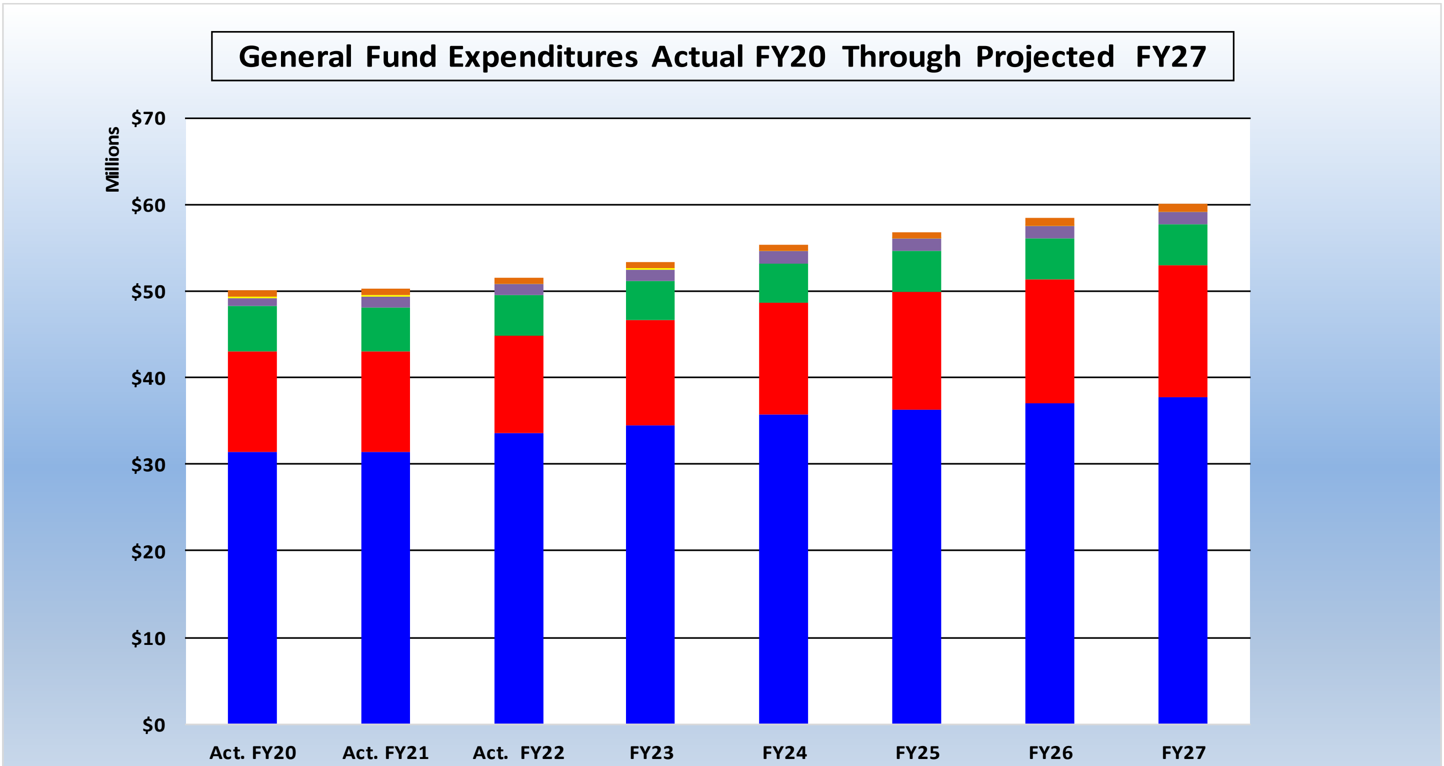
Equipment – Line #3.050
The District does not anticipate costs increasing significantly in this line because most capital outlay is paid by the Permanent Improvement Fund.

Source	FY23	FY24	FY25	FY26	FY27
Capital Outlay & Maintenance	$19,328	$19,328	$19,328	$19,328	$19,328
Technology/Curriculum Purchases	2,000	2,000	2,000	2,000	2,000
Busses & Other Vehicles	0	0	0	0	0
Other adjustments SWSF, CARES, Etc.	0	0	0	0	0
Total Equipment Line #3.050	$21,328	$21,328	$21,328	$21,328	$21,328

Other Expenses – Line #4.300
The category of Other Expenses consists primarily of Auditor & Treasurer fees, our annual audit and other miscellaneous expenses. We are projecting no increase in this area.

Source	FY23	FY24	FY25	FY26	FY27
County Auditor & Treasurer Fees	$537,264	$537,264	$537,264	$537,264	$537,264
ESC Deduction	23,348	23,348	23,348	23,348	23,348
Increased A&T Fees for New Levies	0	0	0	0	0
Dues, Fees & other Expenses	206,485	206,485	206,485	206,485	206,485
Total Other Expenses Line #4.300	$767,097	$767,097	$767,097	$767,097	$767,097

Total Expenditure Categories Actual Fiscal Year 2020 through Fiscal Year 2022 and Estimated Fiscal Year 2023 through Fiscal Year 2027



Transfers Out/Advances Out – Line #5.010

This account group covers fund to fund transfers and end of year short term loans from the General Fund to other funds until they have received reimbursements to repay the General Fund. These amounts are limited in impact to the General Fund as the amounts are repaid as soon as dollars are received in the debtor fund. We have included a $160,000 transfer out in FY23, and $60,000 each year after.

Source	FY23	FY24	FY25	FY26	FY27
Operating Transfers Out Line #5.010	$160,000	$60,000	$60,000	$60,000	$60,000
Advances Out Line #5.020	0	0	0	0	0
Total Transfer & Advances Out	$160,000	$60,000	$60,000	$60,000	$60,000

Encumbrances – Line #8.010

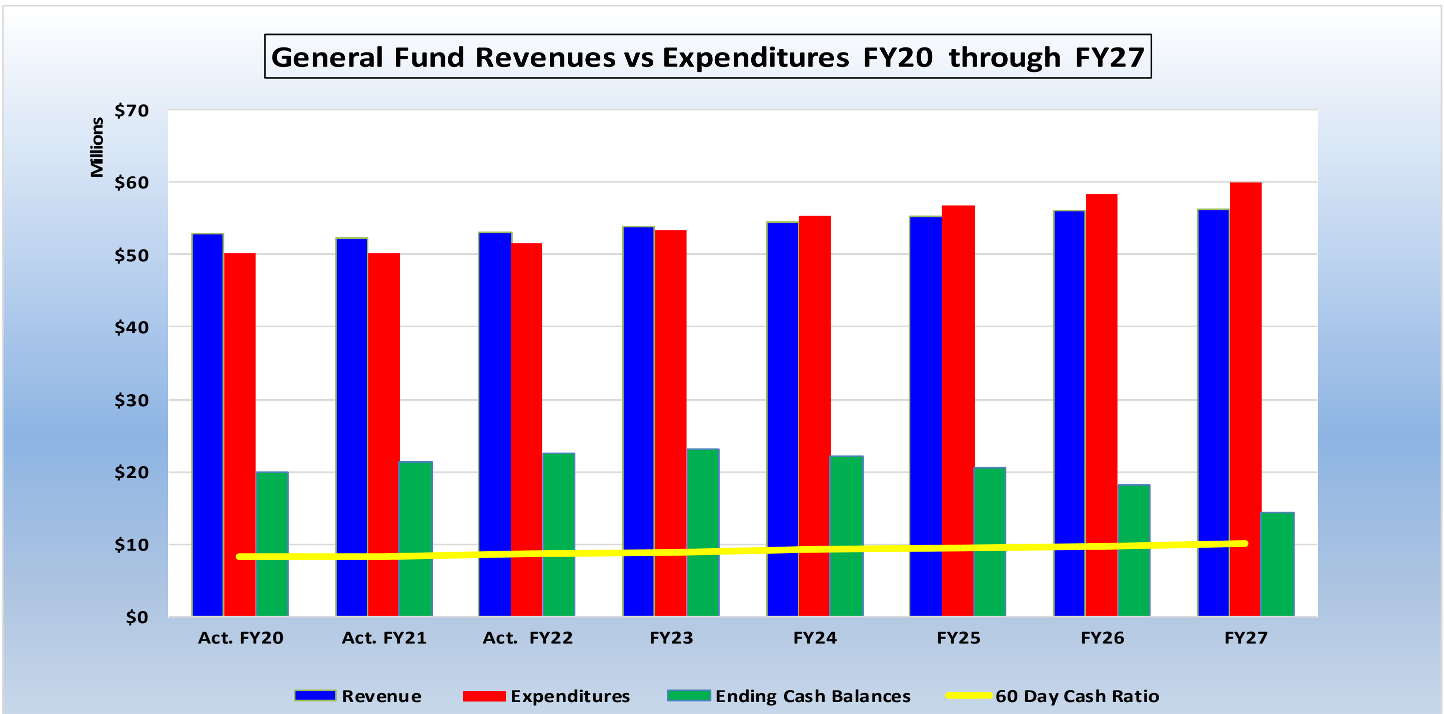
These are outstanding purchase orders that have not been approved for payment as the goods were not received in the fiscal year in which they were ordered.

	FY23	FY24	FY25	FY26	FY27
Estimated Encumbrances Line #8.010	$87,403	$87,403	$87,403	$87,403	$87,403

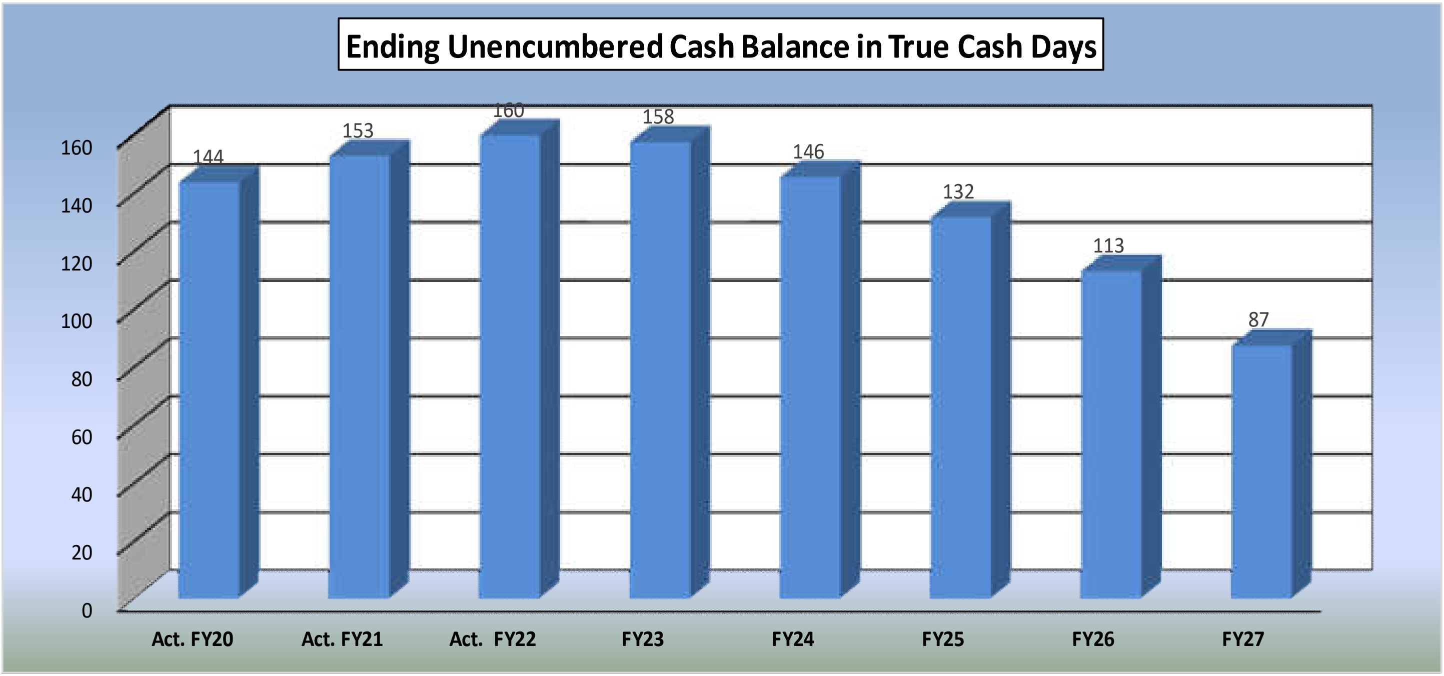
Ending Unencumbered Cash Balance "The Bottom-line" – Line #15.010
This amount must not go below $0 or the district General Fund will violate all Ohio Budgetary Laws. Any multi-year contract which is knowingly signed which results in a negative unencumbered cash balance is a violation of 5705.412, ORC punishable by personal liability of $10,000. It is recommended by the GFOA and other authoritative sources that a district maintains a minimum of thirty (30) day cash balance.

	FY23	FY24	FY25	FY26	FY27
Ending Unreserved Cash Balance Line #15.01	$23,089,055	$22,128,714	$20,512,333	$18,099,766	$14,387,640

Operating Expenditures Actual FY20 through FY22 and Estimated FY23-FY27
As the graph on the following page indicates, we have been diligent at managing costs in reaction to lower and flat state revenues in the past. We are maintaining control over our expenses while balancing student academic needs to enable them to excel and do well on state performance standards.



True Cash Days Ending Balance
Another way to look at ending cash is to state it in 'True Cash Days". In other words, how many days could the district operate at year-end if no additional revenues were received? This is the Current Years Ending Cash Balance divided by (Current Years Expenditures/365 days) = the number of days the district could operate without additional resources or a severe resource interruption. The government finance officers association recommends that no less than two (2) months or 60 days of cash is on hand at year-end but could be more depending on each district's complexity and risk factors for revenue collection. This is calculated, including transfers, as this is a predictable funding source for other funds such as capital, athletics, and severance reserves.



CONCLUSION

Brecksville-Broadview Heights City School District receives 17.1% of it's funding for the district from state dollars which is very beneficial to the overall operations for the education of our students.

The district administration is grateful for the changes in the current state budget HB110 as it has reduced the amount that was deducted for programs that were not within the district's control. However, future state budgets funding will need to be watched since, the full amount of the Fair School Funding Plan was not totally implemented with this budget and there is no guarantee for future increases in state budgets for FY24-FY27.

District administrations appreciates the supportive Brecksville-Broadview Heights community and are actively planning for the future needs of our students while keeping an eye on the financial stability of the district. The administration is mindful that there are many risks and uncertainties that will need to be considered in future planning.

As you read through the notes and review the forecast, remember that the forecast is based on the information that is known at the time that it is prepared.